

TEF, REF, QR, deregulation: thoughts on Jo Johnson's HE talk

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I feel fairly drained today reading [the speech given by the minister for Higher Education](#), Jo Johnson.

The inferences I make about the speech are that:

1. There's a massive coming wave of shake-ups to HE finance, both research and teaching, implemented through a Teaching Excellence Framework
2. Critiques of the REF have backfired as they are used in a deft rhetorical move to cut state funding for research through QR

This is all just my reading of the speech. It doesn't represent my employer's views and it is speculative.

On TEF

Even while decrying REF as "bureaucratic and burdensome to academics", Jo Johnson wants a TEF. There's so much talk of "deregulation" in the speech, even while the crux of it is to introduce a massive top-down regulatory mechanism. The core of TEF is financial, though, regardless of what Johnson says about "teaching quality". It is to be incentivized by allowing institutions to raise their tuition fees:

there will be financial incentives behind the TEF, with those offering high quality teaching able to increase fees with inflation

Another way of putting this is from the flip side: there will be real-term cuts to the funding of institutions that do not fare well under this system. Since assessment will presumably be relative from a single budgetary pot, this is a zero-sum game in which some universities are to be slowly defunded.

There's also the problem of private providers for the government. These were fairly disastrous before. TEF gives a way to control this expansion, though. It seems that the government wants to decouple fee increases from social mobility while at the same time controlling the expansion of private provision according to teaching metrics. The end point looks likely to be to cut all public support for teaching outside the fee loan system and to squeeze the loan system to drive up competition (while getting rid of social mobility regulators like OFFA). Lots of universities won't survive that kind of move, but will be replaced by new teaching providers.

On REF and Research Councils

The current modelled spending cuts in BIS are unlikely to leave research funding untouched. The Minister for HE used a deft rhetorical elision to couple academics' critiques of the REF with removal of state funding for teaching and research:

"To deliver our ambitions, we also plan to reform the higher education and research system architecture. [...] Our regulatory regime is still based upon a system where government directly funds institutions rather than reflecting the fact that students are the purchasers. [...] It is also clear to me that there are many in the sector demanding a process for assessing the quality of scholarly output that is less bureaucratic and burdensome to academics."

These critiques, of course, were of REF as a reductive quantifying procedure. They were not meant to justify the removal of QR, just the removal of the process by which it was assigned. Be careful what you wish for. REF was the way that QR was saved. Regardless of whether you like REF or not (I hate the procedure, but want universities to continue to receive state funding for research), QR gives institutions the freedom to allow their researchers and teachers to fulfil both roles. It is naive to think that this government would continue to fund universities in this way without a procedure like REF. So, I don't like REF, but I accept it as the pragmatic/political compromise negotiated with a centre-right government to continue funding. This is my view of a messy political compromise, not my pure ideal.

The problem is that there are now several different ideologies competing here and the government must weigh its allegiance to each before deciding what route to pursue to achieve its aims. While Johnson says that he is “committed to the maintenance of dual funding support”, i.e. Research Councils and QR, something has to give. So, the ideologies competing are:

1. An ideology of cost-effectiveness
2. An ideology of deregulation
3. An ideology of strategy

REF/QR is cost-effective compared to the Research Councils:

The REF assessed the outputs and impact of HEI research supported by many types of funders. In the context of £27bn total research income from public sources in the UK over a six-year period, the £246M total cost for REF 2014 is less than 1%. In the context of dual support, the total cost amounts to roughly 2.4% of the £10.2 billion in research funds expected to be distributed by the UK's funding bodies in the six years, 2015-16 to 2020-21. This compares with an estimate of the annual cost to the UK HE community for peer review of grant applications of around £196M or around 6% of the funds distributed by the Research Councils.

So there's a drive to maintain REF and QR for cost effectiveness.

But REF/QR has been massively slammed by academics as “bureaucratic and burdensome”, so it doesn’t fit the ideology of deregulation (however contradictory). Furthermore, REF/QR can’t be directed, as can Research Council funding; institutions can spend it on whatever research projects they like.

So the government has to work out what it really wants. If there is to be state funding for research, does it value a cost-effective route (REF.); a de-regulated route (maybe Research Councils? Or just cut REF but keep QR? Yeah, right.); or a route that it can control (Research Councils)?

Finally, the Research Council rejection rate is massive. Only a small number of applications go through. If we’re all forced to apply for funding via this route because there is no QR, then this will get even worse. Research funding will only be available at a very small number of places as concentration rises. This protects the golden triangle while exposing everyone else.

#In conclusion Johnson said, in his speech, that he has “no target for the ‘right’ size of the higher education system”. However, we can infer from this that he does not believe the size to be “right” at the moment because of all the changes he wants to make. Indeed, he said that we need changes to ensure “that more [people going to university] does not mean worse [quality of education]”, which presumably is what he thinks happens at the moment. I **speculate**, from reading this talk:

- that the government continues its policy of protecting prestigious institutions while sharpening severe financial competition among all others.
- that TEF *is* a financial move, not a teaching quality move, even if you think that teaching *should* be better rewarded in the academy.
- that real-term de-funding of existing institutions through TEF will be the way in which the expansion of private providers is regulated.
- that as long as the student loan system stands, the government can have it both ways: it can claim that it does not fund universities and that this is private income, even while having a regulatory say over them because taxpayers “underwrite” the RAB charge.
- that REF/QR and the Research Councils are up for debate but the government is to use academics’ calls for its abolition as a justification to cut QR.

- that there are several competing motivations for the government's actions in the research funding space that it must weigh.
- that the stability of operation for many institutions is to be upset.
- that the talk of de-regulation here is only possible by the introduction of massive new regulatory bodies.

None of this is new, of course. I haven't here, also, gone into liberal humanist defences of the university, of which we will surely see many in the light of this talk. I find myself supportive of the goal to get a more diverse student body – I can't argue with that, just the methods by which it might be achieved. For instance, while there are talks of supporting those who don't go through a “traditional route” to HE, the government's recent policies on funding led to a period of severe financial difficulties for institutions like Birkbeck that cater exclusively for those non-traditional students. So, again, the rhetoric is confused.

But now we have it from the Minister and I suspect we will see action on the ground very soon.